Code No. 6419

OSMANIA UNIVERSITY
FACULTY OF ENGINEERING
UNIVERSITY COLLEGE OF ENGINEERING (AUTONOMOUS)
B.E. (Civil. Mech. CSE.) IV-Semester (MAIN) Examinations Jun/Jul-2026

MANAGERIAL ECONOMICS AND ACCOUNTANCY

Time : 3 hours **Max. Marks : 60**

Note : *i) Answer **Question No. 1** (Compulsory) and answer any **four questions** from the remaining questions (2- 7). Each question caries 12 marks.*
ii) Answers must be written in same order as they occur in the Question Paper.
*iii) **Missing data, if any may suitably be assumed.***

		Marks	BT	CO
1. a)	Explain the discounting principle concept.	2	2	1
b)	Explain the different types of demand.	2	2	2
c)	What do you mean by breakeven analysis?	2	2	3
d)	What is working capital ?	2	2	4
e)	What is business entity concept ?	2	1	5
f)	Explain elasticity.	2	2	3
2.	Explain the Nature and Scope of managerial economics.	12	2	1
3.	List out and compare various types of price and income elasticity of demand along with the diagrams.	12	2	2
4.	What do you mean by production? Explain the production functions.	12	1	3
5.	Explain different types of markets. How price will be determined under perfect competition?	12	2	3

(P.T.O.)

6. The cost of the project is Rs.1,00,000 which has an expected life of 5 years with zero salvage value. The cash flows for the 5 years where as follows. You are required to calculate 1) Payback period 2) ARR 3) Net present value 4) Profitability index. The expected rate of return is 10% 12

Year	Cash Inflows	PV factory 10 %
1	Rs.40,000	.909
2	Rs.35,000	.823
3	Rs.30,000	.753
4	Rs.50,000	.683
5	Rs.45,000	.621

7. From the following information you are required to pass the journal entries and post them in individual ledger accounts. 12

Mohan started business with cash Rs. 5,00,000
Purchase goods by cash Rs. 40,000
Purchase goods from Gopal Rs.4,00,000
Sold goods for cash is Rs. 30,000
Sold goods to Raja Babu Rs. 2,00,000
Paid for salaries is Rs.20,000 by check
Received commission Rs. 5,000
paid rent Rs.20,0000 by check
Amount paid to Gopal on full settlement of Rs.4,00,0000
Discount received is 10%
Amount received from Raja Babu on full settlement of account discount allowed is Rs.5,000

****